QP Code **Reg.No : .....**

Name : .....

MAHATMA GANDHI UNIVERSITY, KOTTAYAM
MGU-UGP (HONOURS) MODEL QUESTION PAPER
FOURTH SEMESTER
DISCIPLINE SPECIFIC ELECTIVE(DSE) - MG4DSEECO201- FINANCIAL RISK ANALYSIS

(2024 ADMISSION ONWARDS)

Duration: 1 hour 30 minutes **Maximum Marks: 50**

Remember(K), Understand(U), Apply(A), Analyse (An), Evaluate(E), Create(C), Skill(S), Interest(I) and Appreciation (Ap)

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

Part A

Multiple Choice Questions

Answer all questions

Each question carries **1** marks

1. Which of the following best explains why risk management is essential in finance? [U] / [CO1]
   a). It guarantees profitable investments in all market conditions
   b). It eliminates all financial risks completely
   c). It helps institutions identify, measure, and mitigate potential losses while balancing risk and return
   d). It replaces the need for financial planning and budgeting

2. A bank experiences a sudden increase in loan defaults due to an economic downturn. Which type of financial risk is the bank primarily facing? [U] / [CO1]
   a). Market risk b). Credit risk
   c). Operational risk d). Liquidity risk

3. When a financial institution cannot meet its short-term obligations despite having valuable long-term assets, which risk is most directly responsible? [U] / [C04]
   a). Market risk b). Foreign exchange risk
   c). Credit risk d). Liquidity risk

4. An Indian exporter faces uncertainty in profits due to fluctuations in the rupee–dollar exchange rate. This represents: [U] / [CO1]
   a). Counterparty risk b). Commodity price risk

c). Foreign exchange risk d). Interest rate risk

5. Which of the following is NOT a factor influencing the Time Value of Money? [U] / [CO2]
a). Inflation
b). Risk associated with future cash flows
c). Opportunity cost of capital
d). Government regulations on currency printing

6. The RBI's Capital to Risk-Weighted Assets Ratio (CRAR) primarily aims to: [U] / [CO4]
a). Ensure banks maintain sufficient capital to absorb losses
b). Guarantee banks will never fail
c). Eliminate all credit risks
d). Increase profitability equally across banks

7. Which statement best describes the relationship between risk and return? [U] / [CO1]
a). Higher risk always guarantees higher returns
b). Lower risk always results in lower returns
c). Risk and return are unrelated
d). Higher potential returns are generally associated with higher risk

8. A company uses forward contracts to lock in future prices of raw materials. This is an example of: [U] / [CO1]
a). Diversification b). Avoidance
c). Insurance d). Hedging

9. Which statement best describes the purpose of Value at Risk (VaR) in financial institutions? [U] / [CO2]
a). It guarantees that losses will not exceed a certain threshold.
b). It measures the profitability of a portfolio under normal conditions.
c). It calculates the exact loss a portfolio will face.
d). It estimates the maximum potential loss within a confidence level and time horizon.

10. Hedging is best described as: [U] / [CO1]
a). Taking an opposite position to reduce potential losses
b). Increasing profits by taking more risk
c). Avoiding taxes
d). Eliminating all risks completely

11. A company faces declining profits because of changes in government regulations and tax policies that affect its overall business environment. Which type of risk is this? [U] / [CO4]

a). Strategic Risk b). Corporate Risk
c). Operational Risk d). Innovation & Technology Adoption Risk

12. A bank expands aggressively into new markets without fully analyzing competitors, leading to loss of market share and poor positioning. Which type of risk is this? [U] / [CO4]
a). Strategic Risk b). Operational Risk
c). Corporate Risk d). Innovation & Technology Adoption Risk

13. A financial institution experiences a data breach where hackers steal customer account information, leading to reputational damage and regulatory fines. Which type of risk is this? [U] / [CO1]
a). Operational Risk b). Cybersecurity Risk
c). Supply Chain Risk d). Strategic Risk

14. A portfolio manager wants to know not just the maximum loss at a confidence level, but also the average loss if things go worse than that threshold. Which risk measure should they use? [U] / [CO2]
a). Value at Risk (VaR) b). Expected Return
c). Conditional Value at Risk (CVaR) d). Standard Deviation

15. A company is evaluating a new project. The project is expected to generate cash inflows over the next five years. To decide whether to invest, the company calculates the present value of future cash inflows minus the initial investment. Which financial metric is being used here? [U] / [CO2]
a). Internal Rate of Return (IRR) b). Net Present Value (NPV)
c). Payback Period d). Profit Margin

[1x15 = 15]

Part B

Short Answer Questions

Answer any **10** questions

Each question carries **2** marks

16. Define risk in financial analysis and explain its importance. [U] / [CO1]

17. What is meant by technological change risk in the era of digitalisation and automation? [U] / [CO1]

18. What is a risk matrix, and why is a DBMS useful in creating it? [U] / [CO2]

19. A company is comparing two investment projects: Project A has a higher IRR but requires a much larger initial investment, while Project B has a lower IRR but smaller upfront cost. Analyse which project may be more suitable and why. [An] / [CO2]

20. A portfolio has a 1-day 95% VaR of ₹10 lakh. What does this figure mean, and how should a risk manager use it in decision-making? [S] / [CO3]

21.	What is credit risk, and who bears it in a lending relationship?	[U] / [CO4]
22.	Define liquidity risk. What happens when an asset cannot be easily sold?	[U] / [CO1]
23.	What is the objective of the RBI's SPARC framework in risk-based supervision of banks?	[U / [CO4]
24.	A company's project shows a positive NPV, but the result changes significantly when the discount rate is varied slightly. Analyse what this indicates about the project's risk using sensitivity analysis.	[An] / [CO2]
25.	Give an example for operational risk based on manufacturing.	[U] / [CO1]
26.	A company is considering two projects. Project X has a 60% chance of success with a payoff of ₹50 lakh, while Project Y has a 40% chance of success with a payoff of ₹80 lakh. How can decision tree analysis help the company choose between these projects?	[S] / [CO3]
27.	Why is corporate governance significant for the long-term sustainability of a company?	[U] / [CO4]
28.	Why are cybersecurity risks considered a major challenge for organisations in the digital era?	[U] / [CO4]

[2x10 = 20]

Part C

Short Essay Questions

Answer any **3** questions

Each question carries **5** marks

29.	Identify and explain Key Risk Indicators (KRIs) and Key Performance Indicators (KPIs).	[U] / [CO4]
30.	Explain the statistical risk analysis tools used by financial institutions for measuring and managing risk.	[U] / [CO2]
31.	Discuss the importance of risk and risk management in finance. Explain the need for macroeconomic risk analysis and macro-financial risk analysis.	[U] / [CO1]
32.	Explain the following risk analysis techniques with suitable applications: a) Decision Tree Analysis b) Sensitivity Analysis	[S] / [CO3]

c) Failure Mode and Effect Analysis (FMEA)

33. Explain the regulatory and supervisory frameworks of the Reserve Bank of India (RBI) with reference to risk management in the Indian banking system. [U] / [CO4]

[5x3 = 15]